

DEBT & EQUITY

Extell's \$185M Yonkers Refi Shows Private Credit Is Pricing the Suburban Bet

NewBridge and Meridian replace Wells Fargo, signaling bank retrenchment and private capital's appetite for structured multifamily.

July 18, 2026 · The Real Deal · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in Extell Development's \$185 million refinancing of its Hudson Piers project is not the loan amount. It is the lender's name.

NewBridge Lending, a bridge-to-agency platform founded by a former Wells Fargo executive just last year, is now providing the capital that a major bank originated and then chose to exit. That substitution tells the market more about the state of commercial real estate debt than any rent roll or occupancy statistic could.

Gary Barnett's firm secured the financing for the first phase of the 1,400-unit luxury development in Yonkers, replacing a commercial loan from Wells Fargo and a separate mezzanine tranche. The first phase consists of two seven-story, mixed-use buildings called Piers 3 and 4, with 369 apartments, ground-floor retail, and parking. The buildings are complete and leasing, with studios starting around \$2,000 and three-bedrooms at \$5,000.

The transaction was arranged by Meridian Capital, which has now placed three loans through NewBridge. Meridian's Zev Karpel described it as a highly structured transaction with several moving parts.

That description is the key. Highly structured means the capital stack required negotiation, layering, and risk allocation that a standard bank balance sheet loan could not accommodate. It means the lender is being compensated for complexity, not just credit quality.

Wells Fargo's exit is not a signal that the asset is troubled. The project is newly built, leasing, and benefiting from \$21 million in city tax breaks. Yonkers is undergoing a genuine transformation, with a 1.5-mile riverfront promenade and development from RXR, Rose Associates, and AvalonBay. Extell's Moshe Botnick frames the location as the natural next step after Hoboken, Jersey City, and Dumbo.

Wells Fargo left because the bank's cost of capital, regulatory constraints, and portfolio strategy no longer favor holding a construction-to-permanent loan on a suburban multifamily project, even a well-located one. The bank is not bearish on Yonkers. It is optimizing its balance sheet for a higher-rate, lower-liquidity environment.

NewBridge stepped in because private credit can underwrite what banks cannot. The bridge-to-agency model allows the lender to hold the loan during a lease-up period, then sell it into the agency market once the asset stabilizes. That optionality is valuable. It lets the lender price the interim risk without requiring the borrower to find permanent financing in an uncertain rate environment.

The deal reveals three things about the current capital markets.

First, bank retrenchment is not uniform. Wells Fargo is not exiting all multifamily lending. It is exiting loans that require balance sheet commitment through a lease-up phase when the bank's deposit costs are high and its securities portfolio is underwater. The bank is choosing where to deploy scarce capital, and suburban Yonkers lost the internal competition.

Second, private credit is filling the gap, but at a price. The highly structured nature of the transaction suggests the all-in cost of capital is higher than what Wells Fargo would have charged. The borrower is paying for speed, certainty, and the lender's willingness to hold a complex asset. That premium is the market's current price for bank disintermediation.

Third, the agency exit matters. NewBridge's model depends on Fannie Mae or Freddie Mac eventually buying this loan. If agency appetite for suburban New York multifamily remains strong, the structure works. If agency underwriting tightens, NewBridge holds a longer-duration asset than planned. The risk has not disappeared. It has been transferred from a bank's portfolio to a private lender's warehouse, with an agency takeout as the planned release valve.

For Extell, the refinancing buys time and removes execution risk. The company does not need to find a permanent loan in a volatile market. It has a capital partner that will manage the transition. That is valuable for a developer whose core business remains Manhattan but who is increasingly pursuing opportunities in New Jersey, Philadelphia, and Utah.

For other owners of suburban multifamily projects with maturing bank loans, the deal is a signal. Private credit is available, but it will be structured, priced for complexity, and dependent on the agency market's continued appetite. The borrower who waits for a bank to return may wait too long.

The market should test whether NewBridge can execute the agency sale. If it can, the bridge-to-agency model will attract more capital and more deals. If it cannot, the highly structured transaction becomes a longer-term hold, and the premium the borrower paid will look cheap in retrospect.

Private credit is not replacing banks. It is replacing the specific function banks no longer want to perform: holding construction-to-permanent risk on suburban multifamily. That distinction will define the next phase of the refinancing cycle.

SOURCES

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